25STCV13872 25STCV13872

County: los-angeles

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Case Number: 25STCV13872 Hearing Date: July 31, 2026 Dept: 507

Tentative Ruling

Judge Rolf M. Treu,

Department 507

HEARING DATE: July 31, 2026 TRIAL DATE: NOT SET

CASE: Shalom Baraness et al. v. Michael Rim

Hamod, et al.

CASE NO.: 25STCV13872

DEMURRER

TO FIRST AMENDED COMPLAINT; MOTION TO STRIKE PORTIONS OF FIRST AMENDED

COMPLAINT

MOVING PARTIES: Defendants Michael Rim Hamod and CIV Investments, LLC

RESPONDING PARTIES: Plaintiffs Shalom

Baraness and Baraness Investments, LLC

CASE HISTORY:

05/12/25: Complaint filed.

3/30/26: First Amended Complaint filed.

TENTATIVE RULING:

Defendants'
Demurrer to the FAC is SUSTAINED with 20 days leave to amend.

Defendants' Motion to Strike is DENIED
and otherwise MOOT.

Moving Parties to
give notice.

BACKGROUND

This is a breach of contract action. Plaintiffs allege that they were induced to invest capital into Defendants' business and Defendants failed to repay the contributions as agreed and failed to share the profits despite the agreement's terms.

DISCUSSION:

Demurrer to FAC

Legal Standard

A demurrer tests whether the
complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "The ultimate facts alleged in the complaint must be deemed true, as well as all facts that may be implied or inferred from those expressly alleged. (Marshall v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1403; see also Shields v. County of San Diego (1984) 155 Cal.App.3d 103, 133 [stating, "[o]n demurrer, pleadings are read liberally and allegations contained therein are assumed to be true"].)

Second Cause of Action: Money Had and Received

Defendants

demur to the second cause of action for money had and received as duplicative of the first cause of action. The Court concurs that this cause of action is subject to demurrer.

To state a claim for money had and received, a plaintiff must allege that the defendant (1) received money; (2) for the use of benefit of the plaintiff, (3) for which the defendant has not repaid or accounted for; and (4) for which equity requires repayment. (Avidor v. Sutter's Place, Inc. (2013) 212 Cal.App.4th 1439, 1454.) Where a common count is based upon the same facts as those alleged in support of a breach of contract, it is subject to demurrer. (Lance Camper Mfg. Corp. v. Republic Indemnity Co. (1996) 44 Cal.App.4th 194, 203.)

As noted by this Court in Defendants’ previous demurrer, this is the case here. Plaintiffs’ second cause of action alleges the existence of an express contract and does not plead in the alternative that a quasi-contractual relationship exists. (See FAC ¶¶ 8-14, 20-21.) Under controlling authority, the second cause of action is subject to demurrer.

Plaintiffs have made no changes to the second cause of action or FAC to correct the deficiency. However, because Plaintiffs have stated they will amend accordingly in opposition, Defendants’ Demurrer to the second cause of action is SUSTAINED with leave to amend.

Third Cause of Action: Fraud

Defendants demur to the third cause of action for fraud for failure to plead with sufficient specificity. The Court agrees with Defendants.

“The elements of fraud that will lead to a tort action are: (a) misrepresentation; (b) knowledge of falsity; (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974.) Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant[s] to understand fully the nature of the charge made. (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.) “This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Ibid.) "[G]eneral and conclusory allegations do not suffice." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

As noted by the Court before, nothing in the FAC approaches the level of specificity required by Lazar and its progeny, even under the most favorable construction of the pleadings. Plaintiffs' bare recitation of the elements of a fraud claim in the FAC and does not meet this burden. Greater detail is required to maintain this cause of action.

Accordingly, Defendants' Demurrer to the third cause of action is SUSTAINED with leave to amend.

Fourth Cause of
Action: Breach of Fiduciary Duty

Defendants demur to the fourth cause of action as failing to state facts sufficient to constitute a claim because it alleges no independent fiduciary relationship.

To state a claim for breach of fiduciary duty, a plaintiff must allege (1) the existence of a fiduciary relationship, (2) a breach of the duties imposed by that relationship, and (3) resulting damage. (See Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086.)

"A fiduciary relationship is ' "any relation existing between parties to a transaction wherein one of the parties is in duty bound to act with the utmost good faith for the benefit of the other party.' " (Wolf v. Superior Court (2003) 107 Cal.App.4th 25, 29.) It is " 'ordinarily synonymous with a "confidential relation." It is ... founded upon the trust or confidence reposed by one person in the integrity and fidelity of another, and likewise precludes the idea of profit or advantage resulting from the dealings of the parties and the person in whom the confidence is reposed.' " (Rickel v. Schwinn Bicycle Co. (1983) 144 Cal.App.3d 648, 654, italics added.) "'[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.'" (Hasso v. Hapke (2014) 227 Cal.App.4th 107, 140 (quoting Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 221).)

Traditional
examples of fiduciary relationships in the commercial context include trustee/beneficiary, directors and majority shareholders of a corporation, business partners, joint venturers, and agent/principal. (Wolf, supra, 107 Cal.App.4th at 30.)

There are three basic elements of
a joint venture: the members must have joint control over the venture (even though they may delegate it), they must share the profits of the undertaking, and the members must each have an ownership interest in the enterprise.

(Simmons v. Ware (2013)
213 Cal. App. 4th 1035.)

Here, while Plaintiff pleads
generally that Defendants were the agent, or joint venturer of the other Defendants, nothing in the FAC sets forth facts to establish an agency or joint venture relationship, and there is no allegation Defendants were Plaintiff's agent or joint venturer. (FAC, ¶ 6.)
While Plaintiff contends the facts describe a joint venture because Plaintiffs' contributed capital to Defendants' business, and Plaintiffs were entitled to a proportionate share of the profits, this does not satisfy the elements of a joint venture. Specifically, Plaintiff does not allege an ownership interest in the enterprise, or joint control over the venture.

The FAC does not indicate what fiduciary duties exist beyond the duties imposed by contract which would give rise to an independent tort claim for breach of fiduciary duty. The bare pleading of the elements of this cause of action does not suffice.

Accordingly, Defendants' demurrer to
the fourth cause of action is SUSTAINED with leave to amend.

Fifth Cause of
Action: Unjust Enrichment

Defendants demur to the fifth cause of action for unjust enrichment as failing to state a cause of action because it is duplicative of the breach of contract claim. Defendants are correct.

A plaintiff cannot simultaneously recover under both a contract and quasi-contract theory for the same subject matter. (E.g. California Medical Assn. v. Aetna U.S. Healthcare of California, Inc. (2001) 94 Cal.App.4th 151, 172.) Thus, Plaintiffs' fifth cause of action is subject to demurrer because it incorporates the contractual allegations, rather than pleading in the alternative. (See FAC ¶¶ 8, 16, 34.) Further, while Plaintiffs have alleged in the alternative to breach of contract, they still have not pled in the alternative, as a quasi-contract has not been alleged.

Accordingly, Defendants' Demurrer to the fifth cause of action is SUSTAINED, with leave to amend.

Sixth Cause of Action: Penal Code Section 496(c)

Defendants demur to the sixth cause of action for receipt of stolen property under Penal Code section 496 for failure to state facts sufficient to constitute a claim.

Penal Code section 496 states, in relevant part:

(a) Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment

(c) Any person who has been injured by a violation of subdivision (a) . . . may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees.

(Penal Code § 496 (a), (c).)

Nothing in the FAC sets forth any facts demonstrating that this section is applicable to the conduct of which Defendants are accused. A bare legal conclusion that Defendants received Plaintiffs' contributions "by way of extortion" (FAC ¶ 4) does not constitute factual support for this claim. While Plaintiff alleges that the fraud allegations are incorporated in this cause of action, the fraud allegations are also insufficient and thus cannot be the foundation for this cause of action. This cause of action is not adequately pled.

Accordingly, Defendants' Demurrer to the sixth cause of action is SUSTAINED with leave to amend.

Leave to Amend

When a demurrer is sustained, the Court determines whether there is a reasonable possibility that the defect can be cured by amendment. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318). When a plaintiff "has pleaded the general set of facts upon which his cause of action is based," the court should give the plaintiff an opportunity to amend his complaint, since plaintiff should not "be deprived of his right to maintain his action on the ground that his pleadings were defective for lack of particulars." (Reed v. Norman (1957) 152 Cal.App.2d 892, 900.) Accordingly, California law imposes the burden on the plaintiffs to demonstrate the manner in which they can amend their pleadings to state their claims against a defendant. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) "Denial of leave to amend constitutes an abuse of discretion unless the complaint shows on its face it is incapable of amendment. [Citation.] Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (Angie M. v. Superior Court (1995) 37 Cal.App.4th 1217, 1227.)

Here, in light of the strong presumption in favor of amendment and the deficiencies generally arising from insufficient detail, the Court will grant Plaintiffs an opportunity to correct the pleadings based on this ruling. But the Court notes that Plaintiffs had an opportunity before and failed to correct the defects. Thus, if Plaintiffs fail to correct the defects again, this may be their last opportunity to do so.

Motion to Strike

Defendants also move to strike portions of the FAC.

Defendants first argue that the FAC is untimely filed and should be stricken because the Court allowed 30 days leave to amend but Plaintiffs filed it 66 days after the ruling instead of the 30 days allowed.

As the demurrer with motion to strike the FAC was fully briefed by both parties on the merits, the Court exercises its discretion and considers the FAC. (Juarez v. Wash Depot Holdings, Inc. (2018) 24 Cal.App.5th 1197, 1202; Mann v. Cracchiolo (1985) 38 Cal.3d 18, 29 ["[J]udges usually consider whether to exercise their discretion . . . and frequently consider documents which have been untimely filed."])

As to the remainder of the motion to strike, the Court has sustained the causes of action that may give rise to punitive damages, treble damages and attorney fees. Thus, this motion is MOOT.

CONCLUSION:

Accordingly, Defendants' Demurrer to the FAC is SUSTAINED with 20 days leave to amend.

Defendants' Motion to Strike is DENIED and otherwise MOOT.

Moving Parties to give notice.

IT IS SO ORDERED.

Dated: July 31, 2026 ___________________________________

Rolf M. Treu

Judge
of the Superior Court

Any party may submit on the
tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.